

Zephirax Industrial Holdings, LLC

AUDIT PLANNING

ACCOUNTING POLICY REGISTER

WORKPAPER REF. PL-APR

PREPARED BY: _____ DATE: _____

REVIEWED BY: _____ DATE: _____

FIXED ASSETS

APPLICABLE

Yes

APPLIES TO

fixed asset, fixed asset depreciation, fixed asset rollforward

POLICY ATTRIBUTE	POLICY CONCLUSION
Asset Class	building improvement
Currency Code	USD
Depreciation Convention	actual date
Depreciation Method	straight line
Effective Date	2025-01-01
Repairs Policy	expense ordinary repairs; capitalize improvements
Threshold Amount	7500.00
Useful Life Years	7
Asset Class	equipment
Useful Life Years	10
Asset Class	machinery
Useful Life Years	8
Asset Class	vehicle

INVENTORY

APPLICABLE

Yes

APPLIES TO

inventory item, inventory lot balance, inventory movement, inventory rollforward

POLICY ATTRIBUTE	POLICY CONCLUSION
Applicable	True
Categories - Category	raw material
Categories - Cost Components	material
Categories - Cost Components	direct labor
Categories - Cost Components	production overhead
Categories - Cost Flow Method	fifo
Categories - Lower Of Cost Nrv	compare carrying cost with estimated selling price less completion and disposal costs
Categories - Obsolete Excess Policy	reserve slow-moving, damaged, expired, or excess quantities from the reserve assessment
Categories - Ownership Terms	owned when title transfers under the documented receiving terms
Categories - Category	work in process
Categories - Category	finished goods
Costing Methods	FIFO
Normal Capacity	80% of practical production capacity
Overhead - Actual Absorbed Overhead	7432.74
Overhead - Allocation Driver	machine hours
Overhead - Applicable	True
Overhead - Normal Capacity Percent Of Practical	80.00
Overhead - Pool	fixed and variable production overhead
Overhead - Variance Disposition	unallocated fixed overhead and abnormal waste are expensed; normal absorption remains in inventory and COGS
Overhead Allocation	normal-capacity machine hours
Policy Version	inventory-costing-v1

CREDIT LOSSES

APPLICABLE

Yes

APPLIES TO	ar allowance policy, ar allowance estimate
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POLICY ATTRIBUTE	POLICY CONCLUSION
Policy	aging-pool loss rates with historical lookback and qualitative adjustment support

REVENUE

APPLICABLE	Yes
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APPLIES TO	revenue detail, customer invoice, fulfillment event, general ledger account
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POLICY ATTRIBUTE	POLICY CONCLUSION
Policy Version	revenue-v1
Streams - Allocation Method	relative standalone selling price; single-obligation streams allocate 100 percent
Streams - Contract Balance Policy	consideration billed before performance is deferred; earned unbilled amounts are contract assets or receivables
Streams - Contract Population	customer contract
Streams - Cutoff Policy	recognize only fulfillment through the fiscal year end
Streams - Disclosure Policy	disaggregate by the generated stream and disclose timing, judgments, and contract balances
Streams - Measure Of Progress Or Transfer	control transfer
Streams - Noncash Consideration	none generated
Streams - Performance Obligations	product and service revenue
Streams - Principal Agent Conclusion	principal
Streams - Recognition Timing	point in time
Streams - Returns Refunds Warranties	recognized or reserved from generated contract terms; otherwise not applicable
Streams - Significant Financing Component	none for the generated ordinary payment terms
Streams - Stream	Product and service revenue
Streams - Transaction Price	fixed consideration plus constrained variable consideration
Streams - Variable Consideration	returns and concessions constrained

POLICY ATTRIBUTE	POLICY CONCLUSION
Summary	Product and service revenue recognized under the documented stream conclusions

DEBT AND PAYROLL

APPLICABLE	Yes
APPLIES TO	debt interest period, debt instrument, amortizable asset, debt maturity classification, payroll run, accrued expense

POLICY ATTRIBUTE	POLICY CONCLUSION
Payroll - Applicable	True
Payroll - Calculation Method	employee-specific active days at the year-end salary rate plus unpaid taxes and benefits
Payroll - Cutoff Time	through 2025-12-31
Payroll - Day Count Convention	actual calendar days
Payroll - Earned Unpaid Days	0
Payroll - Included Components	gross wages
Payroll - Included Components	employee withholding
Payroll - Included Components	employer payroll taxes
Payroll - Included Components	employer benefits
Payroll - Last Period End	2025-12-31
Payroll - Payroll Period	generated payroll-run period
Payroll - Subsequent Reconciliation	agree reversal, subsequent payroll, tax deposit, and benefit remittance to the accrual and GL

PREPAIDS

APPLICABLE	Yes
APPLIES TO	prepaid item, prepaid amortization period, prepaid rollforward

POLICY ATTRIBUTE	POLICY CONCLUSION
Applicable	True

POLICY ATTRIBUTE	POLICY CONCLUSION
Classification Cutoff	realizable within 12 months is current
Method	straight line, full-month convention

ACCRUALS	
APPLICABLE	Yes
APPLIES TO	accrued expense, accrual settlement

POLICY ATTRIBUTE	POLICY CONCLUSION
Methodologies - Accrual Type	raw materials received not invoiced
Methodologies - Approval	reviewed by finance management before posting
Methodologies - Assumptions	goods received before year end; vendor invoice arrives after close at the purchase-order price
Methodologies - Auditor Response	test management's process, source data and assumptions; develop an expectation or inspect subsequent settlement
Methodologies - Current Period Changes	document changes in rates, volume, terms, probability, or timing
Methodologies - Historical Accuracy	evaluate against prior estimate and actual settlement
Methodologies - Method	receiving report cost
Methodologies - Recognition Basis	probable obligation for goods, services, or employee effort received through year end
Methodologies - Responsible Owner	controller
Methodologies - Source Data	Zixtrova Vexholm Services, LLC receiving log through 2025-12-31
Methodologies - Subsequent Settlement	0.00
Methodologies - Uncertainty Range	recorded estimate with sensitivity to source-rate and volume assumptions